

GRUPO BIMBO

NOURISHING A BETTER WORLD

INVESTOR PRESENTATION

Third Quarter 2018

Grupo Bimbo Today

Control Group: 75%
Float: 25%

Market cap(1)	Sales(2)	Adj. EBITDA(2)	Countries	Plants	Routes	Points of sale	Associates	Products
US$10.2 Bn	US$14.9 Bn	US $1.6 Bn	32	199	≈60,000	≈3.2 mm	≈139,000	≈13,000

North America

U.S.

Canada

Mexico

Latin America

EAA

(1) As of September 27th, 2018. Expressed in US$ at the FX of $18.78 Ps./US. (2) Net sales and Adjusted EBITDA for the last twelve months ended September 30, 2018 were Ps. 282,888 million and Ps. 29,771 million, respectively. Converted to US dollars using an average FX rate of the period of Ps. 19.03/US$. Adj. EBITDA: earnings before interests, taxes, depreciation, amortization and other non-cash items.

Globally Present, Locally Committed

North America[1]
- Sales: 50%
- Adj. EBITDA: 44%

81

Mexico
- Sales: 32%
- Adj. EBITDA: 53%

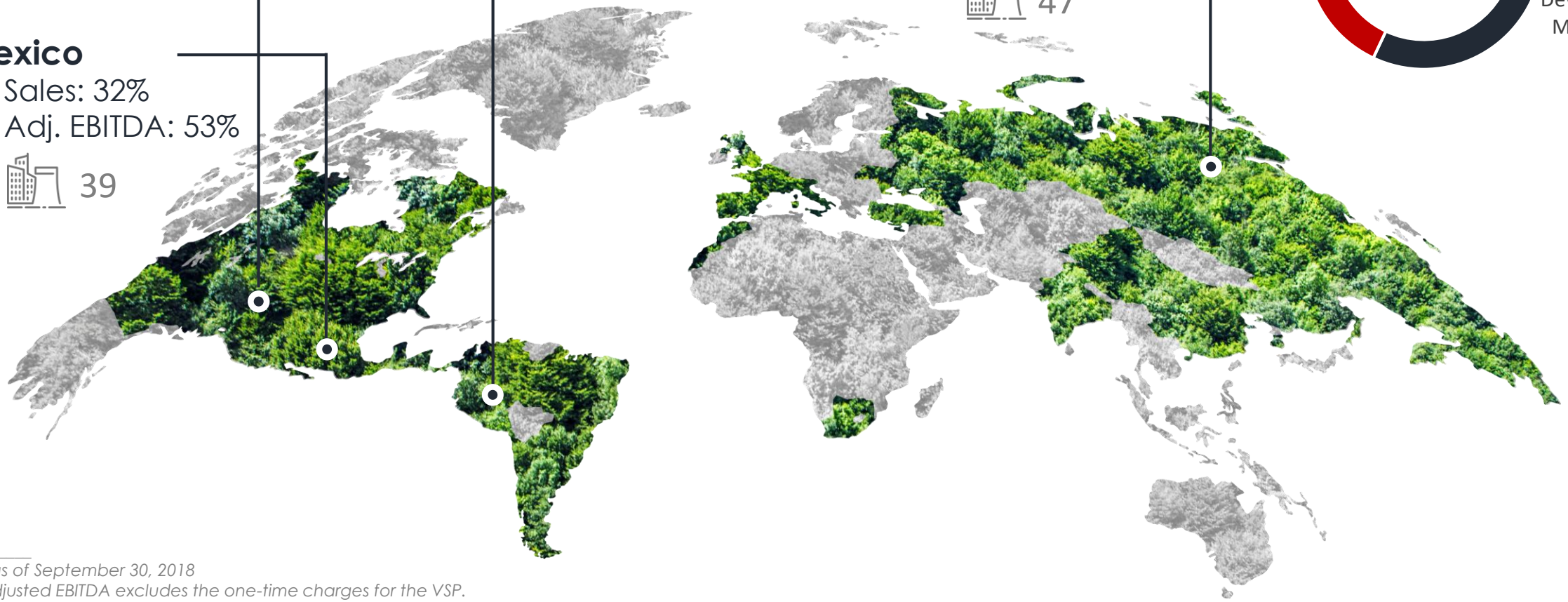
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Latin America[2]
- Sales: 9%
- Adj. EBITDA: 2%

3

EAA[3]
- Sales: 9%
- Adj. EBITDA: 1%

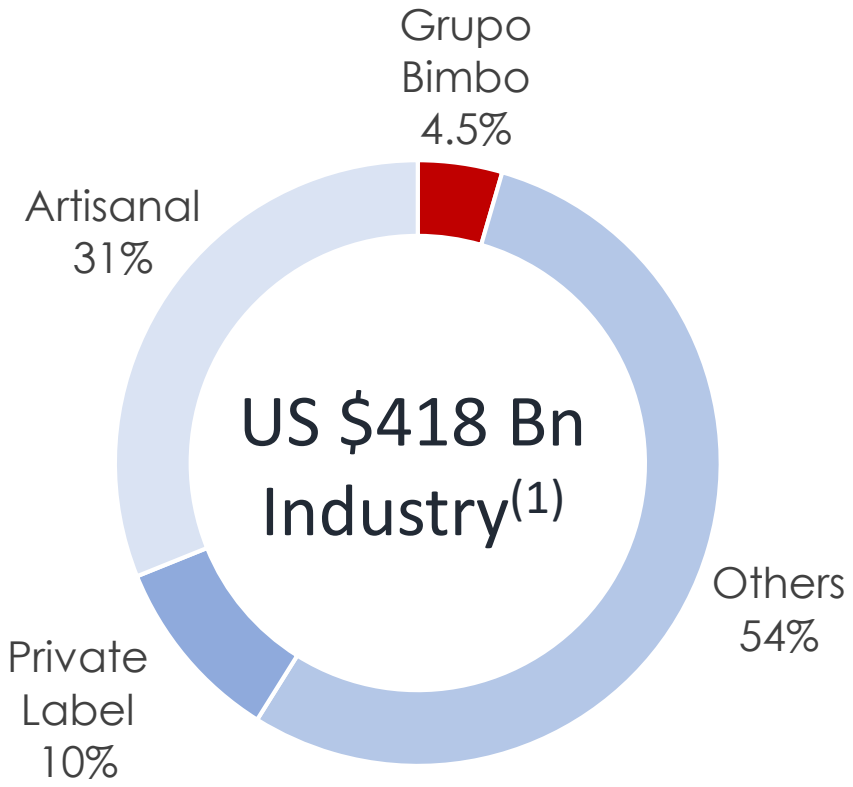
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Figures as of September 30, 2018
Note: Adjusted EBITDA excludes the one-time charges for the VSP.
(1) Includes operations in the U.S. and Canada. (2) Includes operations in Central and South America. (3) Includes operations in Europe, Asia and Africa. (4) Grupo Bimbo sales split , last twelve months as of September 2018. Developed markets include U.S., Canada and Europe.

Resilient Industry with High Growth Potential



GB represents

4.5%

of the global market share

(1) Source : Global Data as of 2017

Industry Fundamentals	• Resilience to economic downturns • Non-discretionary consumer products • High consumption frequency
Competitive Dynamics	• Highly fragmented industry • Short shelf life of products makes industry local
Success Drivers	• Scale and diversification • Strong franchise and brand equity • Product quality • Innovation capabilities • Distribution efficiency
Unlocked Value	• Higher disposable income in Emerging Markets • Taste shift in Asia and the Middle East • Greater variety of premium and healthier products in developed markets

Strong Category and Channel Diversification

Strong leadership position across markets

CATEGORIES

	North America	Mexico	Latin America[1]	EAA[1]
Sliced Bread	✓	✓	✓	✓
Buns & Rolls	✓	✓	✓	✓[2]
Bagels	✓	•		✓[4]
English Muffins	✓	•		
Cookies	•	✓	✓	
Cakes	✓	✓	✓	✓[3]
Pastries	✓	✓	✓	✓
Tortillas	•	✓	•	•
Salty Snacks	•	✓	✓	•
Confectionery	•	✓	•	

• *GB market share not within top 3 in ranking*

CHANNELS

1 **Modern**
Supermarkets, convenience stores, among others

2 **Traditional**
"Mom & pops"

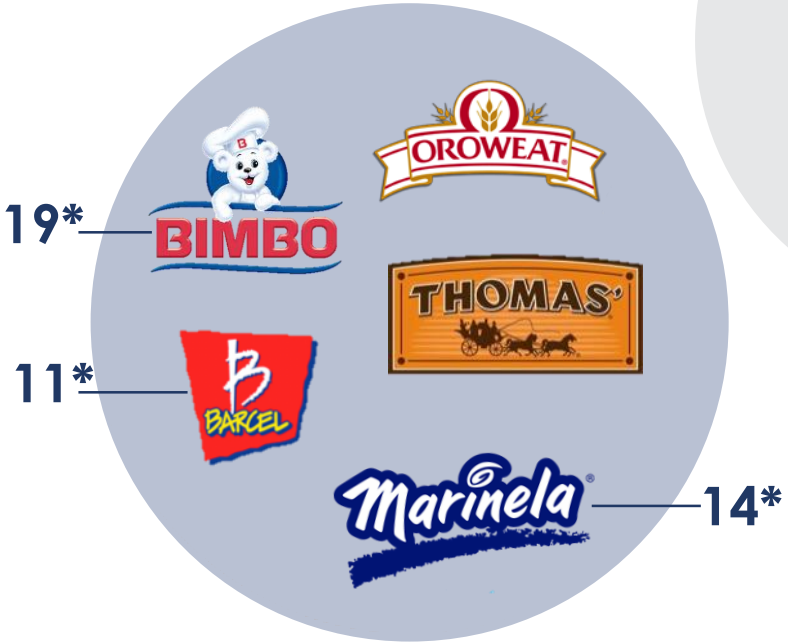
3 **Foodservice**
QSR, schools, hospitals, restaurants, among others

4 **Others**
Vending machines, wholesale, among others

Source: Euromonitor, IRi and Company Information
(1) Market share position for the countries where GB participates in each category. (2)Excludes U.K and India. (3) Excludes China, Morocco and U.K. (4) Excludes Spain

Global Brands with Top of Mind Awareness

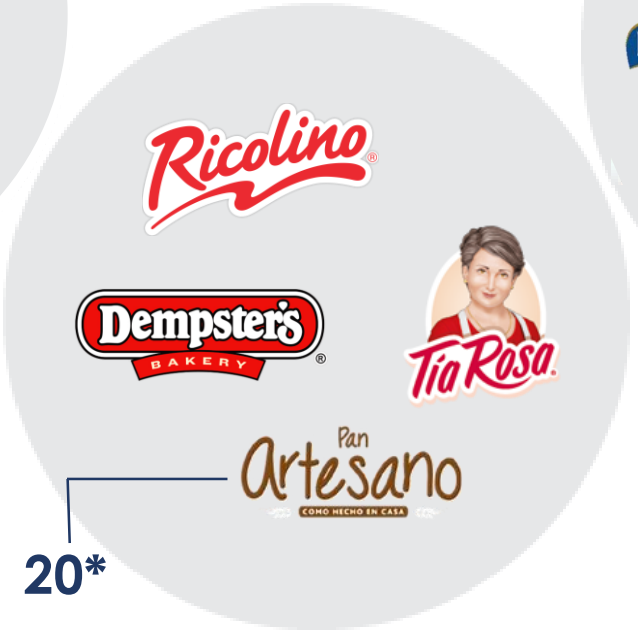
5 Brands + US $1 BILLION



2 Brands + US $500 MILLION



4 Brands + US $250 MILLION

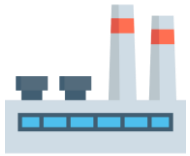


10 Brands + US $100 MILLION



*Brands in more than 10 countries
Source: Internal information on estimated retail sales by brand considering the last twelve months as of September 30, 2018

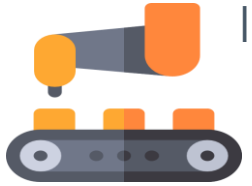
World Class Production and Distribution Capabilities with Superior Execution at the Point of Sale



199 facilities
with access to state-of-the-art technology



Focused on
low cost
production



Investing in robotic process
automation

Benefit from Scale and Efficient Production Capabilities



To serve our customers, our distribution team **travels every day**, the equivalent of
95 laps around



Quality and **freshness** guaranteed



More than
3.2 million
points of sale served



One of the **largest fleets** in America

Our Innovation Platform

2018
Success Stories



acelerada
BIMBO Bakeries USA

- Disruptive product innovation
- In-store bakery
- E-commerce
- Distribution capabilities

BAYS English Muffins



GRUPO BIMBO | VENTURES

- Investment in promising start ups
- Leveraging disruptive techology

LEVA
Food Technology Accelerator

TECHNOLOGY

- Electric vehicles
- Big Data: increasing our information processing and storage capabilities
- Artificial intelligence



Our Sustainable Way | GRUPO BIMBO

- Packaging and zero waste
- Water treatment in plants
- Residual energy recovery in ovens

Oxo-Biodegradable Plastic

ZERO WASTE

The Management Team has Positioned Grupo Bimbo as a Global Market Leader



DANIEL SERVITJE
Chairman of the Board



Audit Committee and Corporate Practices (5 independent members)



Results and Evaluation Committee (5 members, 1 independent)



Finance & Planning Committee (6 members, 1 independent)

DANIEL SERVITJE
CEO

Steering Committee

JAVIER A. GONZÁLEZ Executive VP	**PABLO ELIZONDO** Executive VP	**GABINO GÓMEZ** Executive VP
DIEGO GAXIOLA CFO	**RAÚL OBREGÓN** Chief Global Transformation	**RAÚL ARGÜELLES** Chief HR and Corporate Affairs
FRED PENNY BBU President	**MIGUEL ÁNGEL ESPINOZA** Bimbo President	**ALEJANDRO PINTADO** Barcel President
	RAFAEL PAMIAS Executive VP	

Top Management

- Track record of stability and sustainable growth
- Successfully developed and consolidated market leadership
- Focus on effective and rapid response to the constantly changing consumer demands and competitive environment

Outstanding Corporate Governance

- Corporate Governance aligned with shareholders' interests
- 35% of board members are independent
- 3 corporate committees
- Daniel Servitje was rewarded 1st place as the leader with the best corporate reputation by Merco for three years in a row and one of the world´s greatest leaders by Fortune

Focused on Social Responsibility

- For the second consecutive year, Grupo Bimbo was named "One of the most ethical companies in the world" in 2018 by the Ethisphere Institute
- Recognized as "The Company with the best corporate reputation in Mexico in 2018" by Merco
- The most committed Company in Mexico to the use of renewable energies and sustainability – MIREC
- Complies with the global strategy of the World Health Organization on diet, physical activity and health

ESR Empresa Socialmente Responsable · RI · World Health Organization

Building a Sustainable, Highly Productive and Deeply Humane Company

We care for our environment and act consequently





We work on innovations that prove a sustainable mindset

We value the person and respect human rights





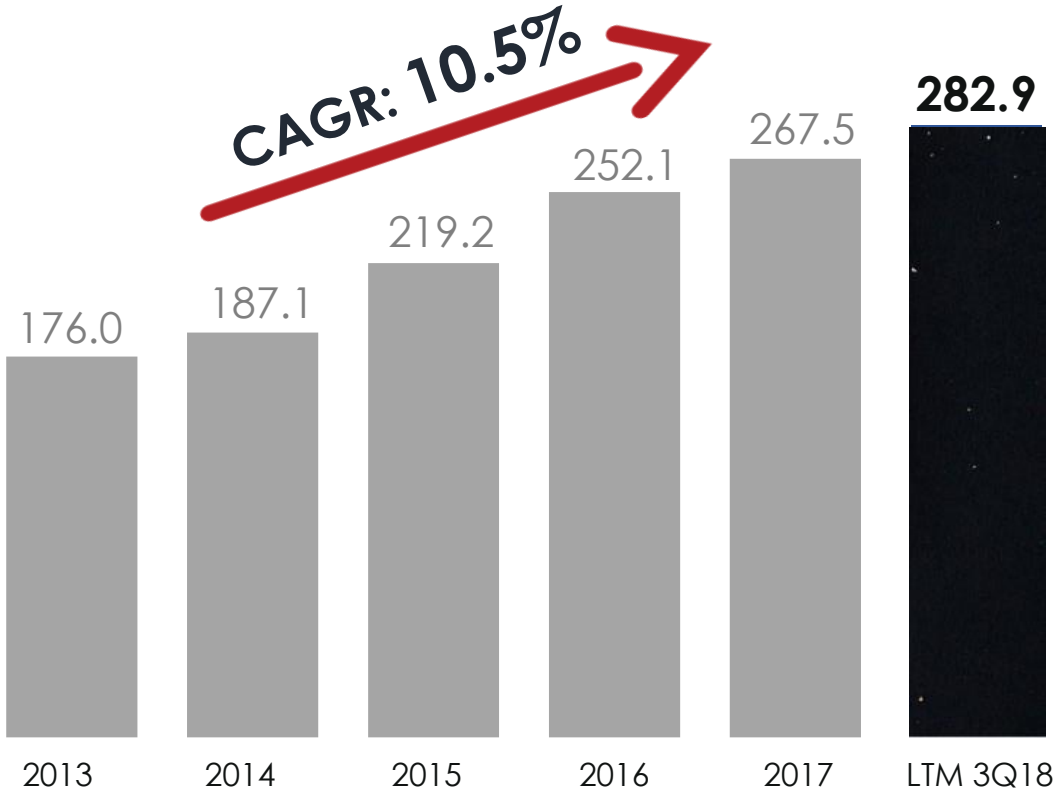
We work to create and promote sustainable communities



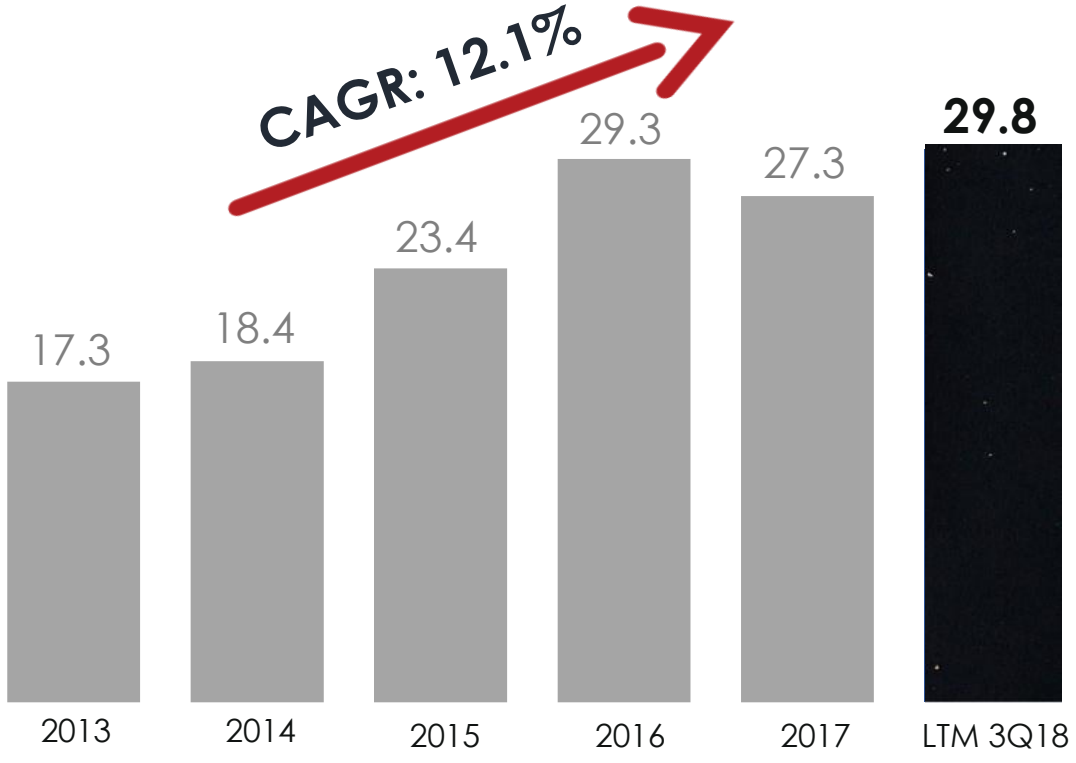
This is how we reach our **Vision**, fulfill our **Mission** and meet our **Purpose**

Sustained Growth with Potential to Increase Profitability

Net Sales[(1)]



Adj. EBITDA[(1)]



GB	**9.8%**	**9.9%**	**10.7%**	**11.6%**	**10.2%**	**11.5%**
Mexico	**15.8%**	**16.7%**	**17.6%**	**18.7%**	**17.7%**	**18.7%**
North America	**7.3%**	**6.2%**	**8.3%**	**9.4%**	**9.2%**	**9.9%**
Latin America	**0.7%**	**3.9%**	**2.1%**	**1.0%**	**1.9%**	**2.2%**
EAA	**-3.8%**	**-0.9%**	**-4.4%**	**2.7%**	**-8.4%**	**1.1%**

(1) Figures in billions of Mexican pesos and using a 4.75 year period.

Quick Snapshot Review:



Great news

- Reached our leverage target at 2.9x total debt/Adj, EBITDA
- Double digit EBITDA growth
- Highlight good sales performance in:
  - Mexico
  - North America
  - Central America

  EAA reached positive EBITDA



Investing to enhance profitability

- Early Separation Program in Canada and the U.S
  - Reduce organizational complexity
  - Increase productivity
- Integration: Donuts Iberia and China
- Restructuring investments in North America and Latin America



Improving our financial profile

- Zero base budgeting savings
- Global procurement initiative
- Deleveraging process



Challenges

- Pressure from commodity, energy and transportation inflation
- Complicated environment in Brazil and Argentina



Investing for future growth

- Commitment to use 100% renewable energy for its electricity consumption throughout the world by 2025
- Capex projects to improve efficiency



One time hits

- Early Separation Program in Canada and the U.S
- 3 Plant closures (Canada & Argentina)

LOOKING FORWARD



By 2020, we transform the baking industry and expand our global leadership to better serve more consumers

Accelerating and Creating Venues of Growth

Bimbo QSR

- **New growth** avenue for Grupo Bimbo
- We are present in **73%** of the global QSR markets
- **High growth** industry

CHINA

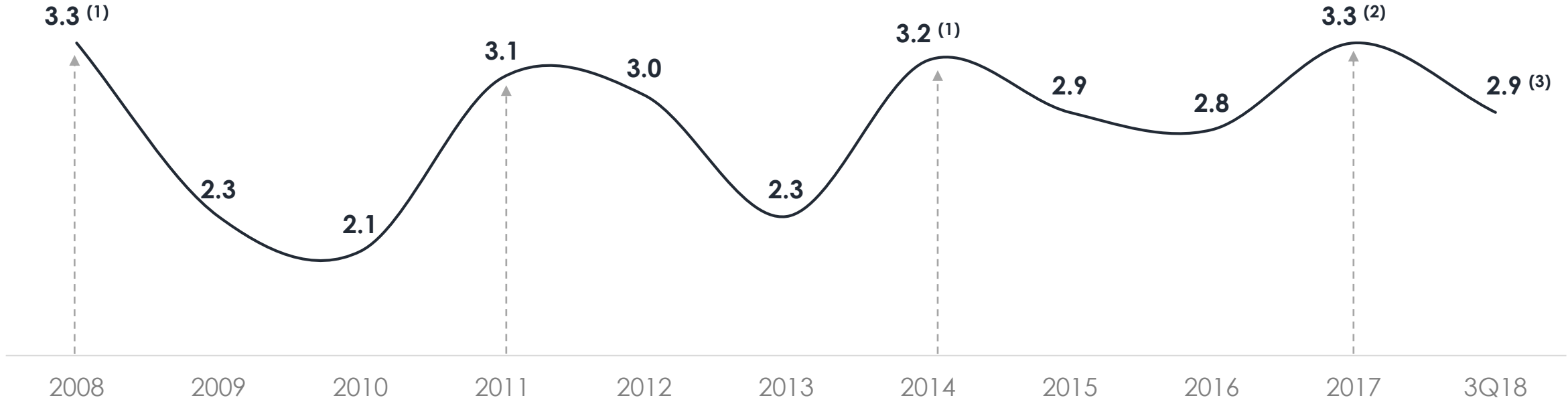
- World's **most populated country**
- **2nd** largest economy
- **6.7%** average GDP growth
- Increased manufacturing footprint from **1** to **10 plants** following the acquisition of Bimbo QSR & Mankattan

INDIA

- **7%** average GDP growth
- **2nd** most populated country
- **#7** World economy
- Opportunity to **expand nationwide**
- **Fastest growing** economy in 2018
- Bakery industry **doubled in the last 5 years**

Resulting in a Proven Track Record of Deleveraging

Leverage
Total debt/ Adj. EBITDA



US$ 2.4 bn

US$ 709 mm

CAD$ 1.8 bn

US$ 650 mm

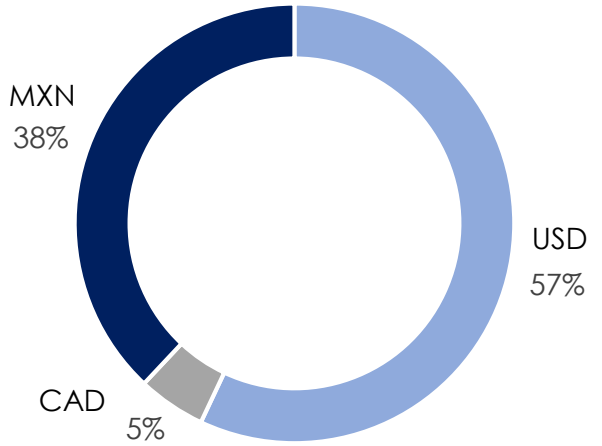
(1) Pro-forma leverage ratio with the acquisition of Weston Foods and Canada Bread, respectively. (2) Pro-forma leverage ratio with the acquisition of East Balt Bakeries, without the adjustment the ratio would have been 3.5x. (3) Pro-forma leverage ratio excluding the VSP charge, Early Separation Programs non-cash charges in the U.S. and Canada and with pro forma Bimbo QSR, without the adjustment the ratio would have been 3.2x

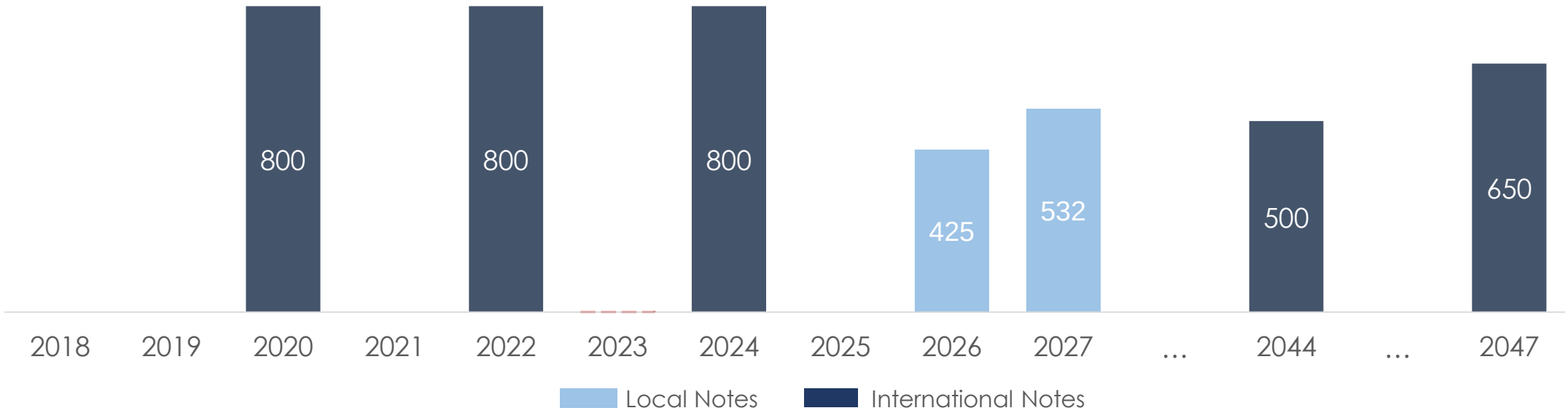
Conservative Debt Profile and Ample Liquidity

Total Debt: US$4,507mm
Avg. Tenor: 10.8 yrs.
Avg. Cost: 6.0%
Figures in US$ mm as of 3Q'18

≈US$2.1bn
in undrawn committed revolver facilities

Currency Mix % (2)





Note: Amortization profile does not include US$ 188mm debt at subsidiary level. (2) Considers derivatives.

Key Investment Highlights



Global consumer food company, **leader in the baking industry**, with diversified portfolio of categories, channels and geographic presence



Global brands with **top of mind awareness**



World class distribution, efficient production capabilities and a leading innovation platform



Experienced management team and strong **corporate governance**



Solid revenue base with higher exposure to developed markets



Growth opportunity within a fragmented industry



Proven sustained growth with history of margin expansion



Strong and consistent cash flow generation that results in proven track record of deleveraging



Strong financial position with solid balance sheet and investment grade credit metrics

Thank you!



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